

the drop has been just a shade under 19 per cent.

Mobile phone users account for over 70 per cent of Disney+ Hotstar's subscriber base in India. In financial year 2021-22 (FY22), Novi Digital Entertainment, the company that runs Disney's OTT business in India, had a turnover of ₹3,220 crore primarily driven by live cricket. Of this, ₹1,374 crore (or 43 per cent) came from subscription and most of the rest came from advertising; in FY21, it was split evenly

between the two segments. In FY22, the company owned the digital rights to the IPL and that led to a spike in revenue across both segments. Its decision to go free now implies that advertising must make up for the loss of that revenue.

"There is obviously pressure to increase the OTT subscriber numbers and this decision is a step in that direction. However, this makes the business vulnerable, since subscription is a stable revenue model, unlike advertising that depends on

a huge event," says R.C. Venkatesh, Promoter of Lex Sportel Vision and former Managing Director of ESPN Star Sports. The other concern relates to the ability to charge a fee for a service once it has been provided for free. It is not clear how much of that has been thought through or, for that matter, what the revenue story will look like.

All indications are that the "free" war will likely be a bloody one. **BT**

@krishnagopalan

| AI REGULATIONS |

No Time to Lose

Having stolen a march over big tech firms in launching ChatGPT, Sam Altman is now lending his voice to develop global guardrails around AI innovation

BY AAKANKSHA CHATURVEDI

► **SAM ALTMAN, THE** CEO of OpenAI—that developed large language model GPT on top of which ChatGPT is built—is now advocating for AI regulations. Recently seen travelling across Asia, Altman met with regulators and policymakers in Israel, Jordan, Qatar, the UAE, South Korea and India, among other countries, to discuss ways to rein in AI, and drum up support for developing global guardrails around it.

When asked by *Business Today* about his views on regulating open source AI projects—on the sidelines of a conference held at Indraprastha Institute of Information Technology Delhi (IIIT Delhi) recently—Altman said, "Open source is important. As it gets more powerful, we will need some guardrails on it."

While in India, he met with Prime Minister Narendra Modi and, "discussed the need to develop global AI regulations to make sure we prevent some of the downsides from happening". Further, Altman said, "The PM was very enthusiastic; he was very thoughtful about AI and the benefits of it," while addressing the students at IIIT Delhi.

But why India, you may ask? For starters, India's G20 presidency might help in shaping bits of the global regu-

lations that Altman is advocating. It could also be the reason why the tech millionaire caught up with India's G20 Sherpa Amitabh Kant. But Altman is not just going around advocating for global AI regulation.

With a view to not miss out on the innovations that budding start-ups across the world might bring in the AI space, he is also looking for start-ups to fund. "The first thing we will do is fund start-ups in India. Before this job, I used to work at Y Combinator, and I was always amazed and grateful about the quality of Indian start-ups. And I think we are now heading towards what will be the greatest start-up boom, at least since the internet; it is going to be bigger than mobile. And the energy we have seen from start-ups in India, we are very excited to figure out how to start funding [them]," he said at the conference.

When asked by *BT* about advocating for regulations while looking for start-ups to fund, Altman said, "Although regulation is important, I worry about over-regulating and stopping what is an incredible, incredible Cambrian explosion of talent and creativity". **BT**

@aakancvedi



OpenAI CEO Sam Altman